

UNDER SCRUTINY IDFC First Bank's branch in Sector 9D, Chandigarh

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THE MODUS OPERANDI

Haryana's Anti-Corruption Bureau has arrested four accused in the suspected IDFC First Bank fraud. This is how the funds were allegedly siphoned off

Exploiting manual processes: Between October 2025 and January 2026, then branch head Ribhav Rishi and relationship manager Abhay Kumar allegedly began making small unauthorised withdrawals from idle Haryana government accounts, using forged signatures on manual cheques and altering ledger entries to conceal them. The sums were modest, seemingly to test whether routine reconciliations would flag them.

Bypassing core system controls: The officials allegedly created 'shadow entries'—back-dated deposits or inter-account transfers—to make the ledgers look balanced. These manual entries bypassed automatic alerts that would normally catch abnormal movements.

Concealing trails: By December 2025, the accused began executing large-value withdrawals and inter-bank transfers, often before end-of-month reconciliation. This timing was deliberate: such activity would be masked by high transaction volumes and then replaced with offsetting 'dummy' entries. The cumulative shortfall grew rapidly, but because balances were updated manually, the discrepancy appeared only in the government's records, not in the bank's books.

Routing via shell firm: Rishav and Abhay allegedly partnered with Swati Singla and Abhishek Singla, owners of a real-estate front, Swastik Desh Projects Pvt. Ltd, which acted as the conduit. Money was transferred into its corporate account as if it were payment for legitimate transactions or term-deposit redemptions. From there, it was split and routed into a network of smaller accounts belonging to associated entities and individuals, making the trail harder to trace.

Ledger manipulation: Every unauthorised transfer was paired with a corresponding false entry in the records, either a credit that never happened or a cheque reversal disguised as 'pending adjustment'. These mirror entries gave the illusion of reconciliation during branch-level audits. Because the same officials controlled both transaction processing and verification, no secondary sign-off ever took place. On Jan. 13, when the Haryana finance department directed the accounts closed and funds transferred to Axis Bank, the suspected fraud came to light.

meetings on February 21-22, and suspended four employees. The matter was reported to the RBI, a police complaint was filed, and internal auditors were tasked with a full investigation. The bank also appointed KPMG to conduct a forensic audit to determine how the discrepancy occurred. The bank has issued recall requests to beneficiary banks to freeze potentially recoverable funds. Legal proceedings against suspected employees and third parties will follow.

How the irregularities surfaced highlights the limits of existing oversight. Like most banks, IDFC First relies heavily on digital reconciliation and automated monitoring for core transaction flows. But the Haryana accounts—many involving physical cheque clearances and manual entries—were not fully integrated into real-time risk alerts (see *The Modus Operandi*). An official familiar with the system says routine transaction volumes do not trigger automated red flags.

The impact extended beyond the immediate loss. Within days, Haryana de-empanelled IDFC First Bank and AU Small Finance Bank—private banks—from handling state accounts, directing departments to work exclusively with public sector banks unless special approval was obtained. The finance department also instructed that all remaining accounts with private lenders be closed and balances transferred to the treasury by March 31, with compliance reports due by April 4.

LESSONS IN OVERSIGHT

Analysts view the episode as a reminder that operational weaknesses and manual processes can undermine technology-led controls. In recent years, the RBI has stressed risk-based supervision, urging banks to invest in data analytics and anomaly detection. These systems work well for high-volume digital flows but have blind spots around physical instruments and legacy workflows. As a former central banker puts it, "Technology can only flag what is digitised; it cannot audit what happens outside core systems."

Investors are watching closely. The Rs 590 crore loss eclipses a full quarter's profit and has cut FY26 earnings estimates of the bank by 20-22 per cent, according to some brokerages. While the bank's capital adequacy remains healthy, reputational damage is harder to quantify. IDFC First has built its franchise on technology-led retail banking; it is a pity that the narrative has come undone by what insiders call "old-style paper fraud". ■